

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 13
Honorable Daniel T. Nishigaya
R. Belligan, Courtroom Clerk
191 North First Street, San Jose, CA 95113
Telephone: 408-882-2240

DATE: May 22, 2026 TIME: 9:00 & 9:01 A.M.

**TO CONTEST A TENTATIVE RULING, YOU MUST CALL (408) 808-6856
BEFORE 4:00 P.M. ON THE DAY PRIOR TO THE HEARING.**

**You must also inform all other sides to the issue before 4:00 P.M. the day prior to the hearing
that you plan to contest the ruling. The Court will not hear argument, and the tentative ruling will be
adopted if these notifications are not made. (Cal. Rule of Court 3.1308(a)(1); Civil Local Rule 8.D.)**

LINE #	CASE #	CASE TITLE	RULING
LINE 7	25CV478111	Victor Paredes et al vs FORD MOTOR COMPANY et al	Hearing: Petition Compel Arbitration Ctrl Click (or scroll down) on Line 7 for tentative ruling.
LINE 8	25CV480120	Ruben Hernandez Jr. et al vs PHH Mortgage Corporation et al	Motion to Consolidate The motion is MOOT and OFF CALENDAR. Moving party is pursuing a request for dismissal of the entire action. In addition, case 25CV482063, which is the matter Plaintiffs move to consolidate with 25CV480120, was dismissed on December 23, 2025.
		9:01 CALENDAR	
9:01 LINE 1	24CV428770	Prateek Rathaur et al vs Madhavi Prabha et al	Hearing: Compromise of Minor's Claim Petitioner to appear. (Rule of Court, Rule 7.952(a).) The tentative ruling is to approve the unopposed petition and for the Court to sign the previously submitted Form MC-351.

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Calendar Line 1

Case Name: *Ghazi Farwana v. Tesla, Inc.*

Case No.: 24CV448132

I. BACKGROUND

Plaintiff Ghazi Farwana (“Plaintiff”) was employed by Defendant Tesla, Inc. (“Defendant”) as a mid-level manager on July 22, 2019. (Complaint at ¶ 8.) On May 10, 2023, Plaintiff was discharged from his employment. (*Id.* at ¶ 64.) Plaintiff filed suit on September 25, 2024 and alleges causes of action for *inter alia*, retaliation, disability discrimination, failure to provide reasonable accommodations, and failure to engage in the interactive process.

Defendant now moves to compel arbitration pursuant to an arbitration agreement provided in Plaintiff’s initial offer letter. Plaintiff argues the arbitration agreement is unenforceable because it is unconscionable. Having reviewed the agreement and evidence, the Court agrees with Defendant and grants the motion.

II. LEGAL STANDARD

Defendant argues the Federal Arbitration Act (“FAA”) applies because Plaintiff’s “employment relationship with Tesla facilitated interstate commerce because Tesla’s business, and Plaintiff’s concomitant job duties, ultimately affected interstate commerce.” (Mtn. to Compel Arbitration at p. 3:19-21.) Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Alternatively, Defendant argues the California Arbitration Act (“CAA”) governs the Arbitration Agreement. (Mtn. to Compel Arbitration at pp. 4:19-5:5.) Code of Civil Procedure section 1281.2 provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy in that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel

arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

III. ANALYSIS

The parties entered into a valid agreement to arbitrate. Plaintiff affixed his electronic signature to the offer letter on June 5, 2019. (Declaration of Ben Felsch ["Felsch Decl."], Ex. A.) A party's acceptance of an agreement to arbitrate may be express, as whether a party signs the agreement." (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Moreover, "[u]nder Civil Code section 1633.7 . . . an electronic signature has the same legal effect as a handwritten signature." (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The authenticity of an electronic signature may be established by detailing the "security precautions regarding transmission and use of an applicant's unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement." (*Id.* at p. 1062.)

The Declaration of Ben Felsch provides that Defendant utilized a system called Avature between 2018 and 2022 for applicant tracking and onboarding its employees. (Felsch Decl. at ¶ 3.) All applicants were required to apply for positions through the Avature application process available through the Tesla Careers website. (*Id.* at ¶ 4.) The employment application required the applicant to create his or her own personal, secure profile by providing their information. (*Ibid.*) Applicants could not continue with the online application without creating a secure profile through the Avature system. (Felsch Decl. at ¶ 6.) Should Defendant choose to extend an offer of employment, the Avature system would send an email to the applicant with a restricted link to an offer letter. (*Id.* at ¶ 8.)

Records show Defendant sent Plaintiff an email containing a link to an offer letter on June 4, 2019. (Felsch Decl. at ¶ 9.) To accept the offer, Plaintiff had to go through a series of information fields in which he had to create his own e-signature by either typing his name or drawing his e-signature. (*Id.* at ¶ 10.) He would have to input his first and last name in the system and be required to click on a button titled "Click to Sign." (*Ibid.*) Plaintiff would have to validate his e-signature by providing his email address to confirm his acceptance and signing of the offer. (*Ibid.*) As stated above, Plaintiff electronically signed the offer letter on June 5, 2019. (Felsch Decl., Ex. A.) Defendant's account of this process is sufficient to authenticate Plaintiff's signature and establish an agreement to arbitrate between the parties.

The scope of the agreement also covers Plaintiff's claims. The agreement provides:

In addition, to ensure the rapid and economical resolution of disputes that may arise in connection with your employment with Tesla, you and Tesla agree that any and all disputes, claims, or causes of action, in law, or in equity, arising from or relating to your employment, or the termination of your employment, will be resolved, to the fullest extent permitted by law by final, binding and private arbitration in your city and state of employment conducted by the Judicial Arbitration and Mediation

Services/Endispute, Inc. (“JAMS”), or its successors, under the then current rules of JAMS for employment disputes; provided that:

(Felsch Decl., Ex. A.) Plaintiff’s claims for retaliation, discrimination, and harassment arise out of his employment relationship with Tesla, and therefore, fall under the scope of the arbitration agreement.

However, Plaintiff does not truly dispute that he signed the offer letter containing the agreement to arbitrate or that the scope of the agreement covers his claims. Instead, Plaintiff challenges the enforceability of the Agreement by arguing that it is unconscionable.

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.) The Court thus proceeds to consider whether the agreement is procedurally and substantively unconscionable.

Procedural Unconscionability

The circumstances that the court examines to determine whether there was “oppression” in the signing of an agreement generally include: “ ‘(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.’ ” (*OTO, supra*, 8 Cal.5th at pp. 126-127 [quoting (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348)].)

Here, the offer letter is four pages long but does not specifically delineate the arbitration agreement through bold lettering, italics, or capitalized font. (Felsch Decl., Ex. A.) Instead, the arbitration agreement is embedded within the offer letter alongside other terms. (*Ibid.*) Procedural unconscionability has been found where the presence of an arbitration provision has not be distinguished through bold lettering, larger font, or capitalization. (See, e.g., *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251.)

Plaintiff was required to sign the offer letter as a condition of employment. The court in *Davis v. Kozak* (2020) 53 Cal.App.5th 897, 907 (*Davis*) noted that the unequal bargaining power between the parties, as a middle manger and multinational company, was significant in finding that the agreement was a contract of adhesion. However, “the cases uniformly agree that a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127.) Moreover, as also noted in *Davis*, this type of contract of adhesion in the employment context adds a modest amount of procedural

unconscionability and, the amount of procedural unconscionability is increased when the fact of an adhesion contract is combined with other issues. (See *Davis, supra*, 53 Cal.App.5th at p. 907; *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) Thus, the Court finds that a moderate degree of procedural unconscionability exists given the agreement's presentation and adhesive nature.

Substantive Unconscionability

With regard to substantive unconscionability,

As the *Armendariz* court explained, based on “the principle of nonwaivability of statutory civil rights in the workplace,” there are “five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it ‘(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus an employee who is made to use arbitration as a condition of employment “effectively may vindicate [his or her] statutory cause of action in the arbitral forum.”’” (*Armendariz, supra*, 24 Cal.4th at p. 102.)

(*Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1052.)

The arbitration agreement satisfies these factors. The agreement provides for arbitration to be conducted by Judicial Arbitration and Mediation Services/Endispute (“JAMS”). (Felsch Decl., Ex. A.) Rule 7 of the JAMS Employment Arbitration Rules & Procedures (“JAMS Rules”) provides that “[t]he Arbitration shall be conducted by one neutral Arbitrator.” (Mtn. to Compel Arbitration at p. 10:12-14.) Rule 17 of the JAMS Rules also provides for discovery. (*Id.* at p. 10:15-21.) The agreement expressly provides that the arbitrator shall issue a written award and that the parties shall be entitled to all forms of relief available in court of law. (Felsch Decl., Ex. A.) Furthermore, the agreement provides “Tesla shall pay all fees in excess of those which would be required if the dispute was decided in a court of law.” (*Ibid.*) While the agreement seemingly satisfies these factors, Plaintiff argues the agreement lacks mutuality.

Plaintiff first argues the agreement lacks mutuality because “the only claims subject to the arbitration agreement are only those that the employee is likely to bring” as it applies to any and all claims arising out of the employment relationship. (Opposition at p. 8:10-13.) Plaintiff argues “Tesla has reserved judicial remedies including injunctive relief to protect its own Confidential Information.” (*Id.* at p. 9:6-8.) Plaintiff further argues Defendant is likely to bring an action against an employee for a violation of the Non-Disclosure and Inventions Assignment Agreement (“NDA”). (*Id.* at p. 9:14-17.) However, as Defendant notes, the NDA is a separate document entirely from the arbitration agreement. (Reply at pp. 4:24-5:3.) Nevertheless, the two documents should be read together pursuant to Civil Code section 1642.

(*Wise v. Tesla Motors, Inc.* (2025) 117 Cal.App.5th 325, 333.) Even if Defendant is more likely to sue for a violation of the NDA, the arbitration agreement permits both parties to seek injunctive relief in court:

Nothing in this agreement is intended to prevent either you or Tesla from obtaining injunctive relief in court to prevent irreparable harm pending the conclusion of any such arbitration; thus, claims for temporary or emergency injunctive relief to preserve the status quo prior to and/or in aid of arbitration are permitted.

(Felsch Decl., Ex. A.) Moreover, employment contracts can provide a “margin of safety” to the party with the superior bargaining power as long as there is a legitimate commercial need for doing so that is explained in the contract itself. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 324.) The agreement here explains that the unauthorized disclosure of confidential information or proprietary data could cause series and irreparable injury, thus justifying its right to seek injunctive relief. (Felsch Decl., Ex. A.) For these reasons, the Court does not find that the agreement lacks mutuality in this regard as both parties may pursue provisional remedies under the agreement.

Second, Plaintiff argues the bond waiver provision under the NDA is substantively unconscionable. (Opposition at pp. 10:20-11:9.) Section 6 of the NDA provides that Defendant shall “have the right to enforce this Agreement and any of its provisions by injunction, specific performance, or other equitable relief, *without bond* and without prejudice to any other rights and remedies that the Company may have for a breach of this Agreement.” (Reply Declaration of Hassan Aburish, Ex. A [emphasis added].) It has been noted that “[a]n arbitration provision lacks mutuality and is substantively unconscionable when it authorizes the stronger party to obtain injunctive relief without establishing all of the essential elements for the issuance of a injunction.” (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 250.) Thus, the Court agrees that this provision of the NDA is substantively unconscionable.

Third Plaintiff argues the agreement is substantively unconscionable because it prohibits him from pursuing a class representative action. (Opposition at p. 8:14-26.) The agreement provides “[t]he Parties agree that each may file claim against the other only in their individual capacities, and may not file claims as a plaintiff and/or participate as a representative in any representative action against the other, except to the extent this provision is enforceable under the applicable law[.]” (Felsch Decl., Ex. A.) California and federal law have affirmed that class-waiver provisions in employment agreements are valid and enforceable. (See *AT&T Mobility LLC v. Conception* (2011) 563 U.S. 333, 348-352; *Iskanian v. CLS Tramp, LLC* (2014) 59 Cal.4th (Iskanian) 348; *Epic Sys. Corp. v. Lewis* (2018) 584 U.S. 497.) However, in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 644-645, the United States Supreme court left the holding of *Iskanian* undisturbed to the extent that it held that a blanket PAGA waiver is unconscionable under California law. (See *Adolph v. Uber Technologies* (2023) 14 Cal.5th 1104, 1117.) Thus, the agreement is unconscionable only to the extent it includes a blanket PAGA waiver; however, the court notes that it is silent in this regard.

Since multiple unconscionable provisions have been identified, the Court considers whether they can be severed from the agreement.

Severability

“[W]hether to sever is within the trial court’s discretion.” (*Navas v. Fresh Venture Foods, LLC* (2002) 85 Cal.App.5th 626, 636-637.)

“ ‘In deciding whether the sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is “permeated” by unconscionability.’ [Citation.] [¶] An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. [Citation.] ‘Such multiple defects indicate a systemic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ [Citation.] An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ [Citation.] If ‘the court would have to in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Mango v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292.)

(*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493.)

Plaintiff argues severance will not cure the unconscionability of the arbitration agreement and NDA. (Opposition at pp. 11:10-14:24.) Plaintiff maintains the agreement does not contain a severance clause. (*Id.* at p. 12:22.) To the contrary, the agreement provides:

If one or more of the provisions in this arbitration agreement, or any portion thereof, are deemed invalid, unenforceable, or void under the Federal Arbitration Act or other applicable law, then the remaining provisions, or portions thereof, shall not thereby be affected and will continue in full force and effect, and shall be given full effect without regard to the invalid, unenforceable, or void provision, or portion thereof.

(Felsch Decl., Ex. A.) Defendant maintains the unconscionable provisions pertaining to the waiver for non-individual PAGA claims can be severed from the agreement. (Reply at p. 7:24-26.) The court agrees that severance is possible here without re-writing the terms of the agreement. Defendant has not filed for an injunction for the bond waiver to apply. Plaintiff has not brought a representative PAGA action, and the agreement is silent in this regard. In any event, as noted above, class action waivers are nevertheless enforceable. The severance of these terms will not change the central purpose of the agreement, which is for the parties to arbitrate any and all claims arising from their employment relationship. Accordingly, the

Court severs reference to the bond waiver provision in the NDA and leaves the remainder of the agreement undisturbed.

For these reasons, the Court GRANTS the Motion to Compel Arbitration. This action is hereby STAYED pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

IV. CONCLUSION

The Court GRANTS the Motion to Compel Arbitration. The Court further GRANTS Defendant's Request for Judicial Notice pursuant to Evidence Code section 452, subdivision (d). This action is STAYED pending the outcome of arbitration.

The June 10, 2026 Further Case Management Conference is VACATED.

The matter shall be set for a Status Hearing re: Arbitration on January 29, 2027, at 11:00 a.m. in Department 13.

Moving party shall prepare and submit the final order, accompanied by the necessary Form EFS-020 within 10 days of the date of the hearing.

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Calendar Line 2 & 3

Case Name: *Hamid Khazaeli v. Julie B. Cliff, et al.*

Case No.: 24CV448245

Before the Court are the following motions: (1) Defendants' Julie Cliff, Esq. ("Ms. Cliff") motion for judgment on the pleadings; and (2) Plaintiff Hamid Khazaeli's ("Plaintiff") motion for judgment on the pleadings.

I. BACKGROUND

Plaintiff Hamid brings this legal malpractice action against Ms. Cliff and Defendant the Law Office of Julie B. Cliff (collectively, "Defendants"). According to the allegations of the operative First Amended Complaint ("FAC"), in or around October 2016, Plaintiff obtained a money judgment in the amount of \$5,147,898 for employment discrimination. (FAC, ¶ 5.) On January 17, 2019, Plaintiff filed a third amended complaint alleging six causes of action. (*Ibid.*) On or around March 2020, Plaintiff received an adverse judgment. (*Ibid.*) On August 20, 2020, Plaintiff a notice of appeal in the trial court. (*Ibid.*)

In August 2022, Defendants, on behalf of Plaintiff, filed a motion to augment and Appellant Opening Brief in the Sixth District Court of Appeal. (FAC, ¶ 6.) In the process of representing Plaintiff, Defendants committed "a multitude of wrongdoings and legal errors, irreparably damaging and prejudicing Plaintiff's case." (*Id.*, ¶ 7.) Because of these wrongdoings, Plaintiff was unable to collect on his valid money judgment in the amount of \$5,147,898 and instead collected nothing. (*Id.*, ¶ 8.)

On October 23, 2024, Plaintiff filed the operative FAC asserting the following causes of action against Defendants: (1) professional negligence; (2) breach of fiduciary duty; (3) breach of contract; and (4) conversion. On December 9, 2024, Defendants filed a general demurrer and asserted nine affirmative defenses. Plaintiff subsequently demurred to the answer. On March 12, 2025, the Court issued an order overruled the demurrer on the ground of uncertainty in its entirety, sustained the demurrer on the ground of failure to state sufficient facts with leave to amend as to the second, fourth, sixth, seventh and nine affirmative defenses, sustained the demurrer on the ground of failure to state sufficient facts without leave to amend as to the fifth affirmative defense and overruled the demurrer on this ground as to the first, third and eighth affirmative defenses. Defendants filed their amended answer on April 23, 2025.

II. MS. CLIFF'S MOTION FOR JUDGMENT ON THE PLEADINGS

Ms. Cliff moves for judgment on the pleadings against Plaintiff on the ground that the FAC fails to state facts sufficient to constitute a cause of action against her.

"A motion for judgment on the pleadings performs the same function as a general demurrer" (*Cloud v. Northrup Grumman Corp.* (1998) 67 Cal.App.4th 995, 999 (*Cloud*).) "It is axiomatic that a demurrer lies only for defects appearing on the face of the pleadings" (*Harboring Villas Homeowners Assn. v. Superior Court* (1998) 63 Cal.App.4th 426, 429) and upon matters of which the court may properly take judicial notice (Code Civ. Proc., § 438, subd. (d); *Smiley v. Citibank* (1995) 11 Cal.4th 138, 146). "Consequently, when considering a

motion for judgment on the pleadings, [a]ll facts alleged in the complaint are deemed admitted ...” (*Sykora v. State Dept. of State Hospitals* (2014) 225 Cal.App.4th 1530, 1534, internal citations and quotations omitted.) “Presentation of extrinsic evidence is therefore not proper on a motion for judgment on the pleadings.” (*Cloud, supra*, at 999.) Under the applicable standard, a defendant moving for judgment on the pleadings may obtain such judgment if she establishes that the complaint “does not state facts sufficient to constitute a cause of action against the defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).)

Ms. Cliff’s request for judicial notice is GRANTED as to Exhibits 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 14 and 15 as these items are court records. (Evid. Code, § 452, subd. (d).) However, Ms. Cliff’s request is DENIED as to Exhibits 13, 16, 17, 18 and 19. The Court emphasizes that while it may take judicial notice of the *existence* of each document in a court file, it cannot take judicial notice of the *truth* of hearsay allegations or factual assertions contained in documents such as pleadings, affidavits, declarations or other similar filings because they are not inherently indisputably true. (See *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564, internal citation omitted (*Sosinsky*).) While the items that the Court has declined to take judicial notice of are also “court records,” they are not the type of document which the Court can take judicial notice of the truth of their contents, and taking judicial notice of their mere existence has no relevance to the disposition of Defendant’s motion. As such, the Court will not take such notice. (See *Gbur v. Cohen* (1979) 93 Cal.App.3d 296, 301 [judicial notice is limited to relevant matters] (*Gbur*).)

Ms. Cliff appears to approach her motion for judgment on the pleadings as if it is akin to a motion for summary judgment, citing to “Undisputed Material Facts” in support of her arguments. (See Code Civ. Proc., § 437c, subd. (b)(1).) This is wholly improper as this is *not* a motion for summary judgment and there is no authority- statutory or otherwise- which provides for the provision and consideration of such “facts.” These “facts” are listed in her attached declaration; as this is *not* an evidentiary motion, the Court cannot consider the declaration’s contents. Nevertheless, the Court will evaluate the substantive merits of Ms. Cliff’s arguments.

She first asserts that she is entitled to judgment as to the first cause of action for professional negligence because it fails to state facts sufficient to constitute a cause of action. But she does not attack the sufficiency of the allegations of the claim; instead she argues the underlying *merits*, i.e., that she was *not* negligent in the performance of legal work performed on Plaintiff’s behalf. Can the Court determine whether or not Plaintiff’s claim for legal malpractice has merit based solely on the materials that it has taken judicial notice of? The answer to this question is a clear “no.”

As a general matter, in order to prevail on a legal malpractice claim, a plaintiff must plead and prove the following elements: “(1) the duty of the attorney to use such skill, prudence, and diligence as members of his or her profession commonly possess and exercise; (2) a breach of that duty; (3) a proximate causal connection between the breach and the resulting injury; and (4) actual loss or damage resulting from the attorney’s negligence. [Citations.]” (*Coscia v. McKenna & Cuneo* (2001) 25 Cal.4th 1194, 1199-1200.) The plaintiff must establish, by a preponderance of evidence, “that but for the attorney’s negligent acts or omissions, he would have obtained a more favorable judgment or settlement in the action in which the malpractice allegedly occurred.” (*Namikas v. Miller* (2014) 225 Cal.App.4th 1574, 1582, internal citation omitted.) Expert testimony is often necessary to establish the prevailing

standard and whether the defendant attorney's conduct met it. (See *Lipscomb v. Krause* (1978) 87 Cal.App.3d 970, 976.)

In the FAC, Plaintiff alleges that Ms. Cliff committed professional negligence by:

- failing to allege multiple viable trial court's errors, including issues reflected in two orders after judgment, allowing attack to Plaintiff's character, and refusing to let Plaintiff introduce evidence of costs and attorney's fees incurred in procuring the judgment in the employment discrimination case;
- copying and pasting Plaintiff's and Plaintiff's former attorneys legal work without checking them for correctness and completeness instead of performing fresh legal work;
- failing to tell Plaintiff that she did not completely review and incorporate the records on appeal;
- failing to demonstrate ordinary professional competence by repeatedly failing to effectively prepare documents for Plaintiff;
- failing to timely file the Reply Brief;
- failing to attend and complete Oral Argument;
- failing to timely and correctly comply with Rule 1.16(e) of the State Bar of California Rules of Professional Conduct;
- failing to timely, correctly and competently respond to Plaintiff's questions and inquiries;
- providing false/forged documents to Plaintiff;
- failing to timely inform the Plaintiff of significant developments pertaining to the representation;
- intentionally misrepresenting facts in communications with Plaintiff amounting to fraud;
- failing to timely and correctly comply with Rule 1.15 of the State Bar of California Rules of Professional Conduct;
- refusing to give the legal research and work product of representation to Plaintiff; disclosing attorney-client privileged information;
- causing damages and liabilities to Plaintiff; and
- abandoning Plaintiff by improperly withdrawing at a key juncture in the proceedings

(FAC, ¶ 7.)

The Court cannot determine whether all of the alleged incidents occurred or not based solely on the materials of which it has taken judicial notice. Ms. Cliff concludes her discussion concerning the first cause of action by asserting that the claim does not state sufficient facts to establish "but for" causation, but that is not what she is *actually* arguing. Instead, she is arguing that she did not cause Plaintiff to suffer any damages. This is an argument aimed at the underlying *merits* and not the sufficiency of the pleadings. Accordingly, Ms. Cliff fails to establish that she is entitled to judgment on the first cause of action.

Ms. Cliff's motion suffers from the same problem with respect to the remaining causes of action. That is, she asserts that Plaintiff "fails to state sufficient facts" to state his claims for breach of contract, conversion and breach of fiduciary duty because she did not commit the negligent acts she is alleged to have committed and thus could not have caused his alleged damages. She does make passing reference to Plaintiff failing to plead sufficient factual details

to support his breach of fiduciary duty claim, but cites no authority which provides that the claim must be pleaded with greater detail than it has been in the FAC. Ms. Cliff also attacks certain allegations pertaining to violations of the Rules of Professional Conduct as insufficient to give rise to claims for damages, but as these purported violations are not the only acts upon which Plaintiff's claims are based, even if Ms. Cliff's argument is correct, it does not eliminate each cause of action in its entirety.

Given the foregoing, Ms. Cliff's motion for judgment on the pleadings is DENIED.

III. PLAINTIFF'S MOTION FOR JUDGMENT ON THE PLEADINGS

A plaintiff moving for judgment on the pleadings may obtain such judgment if he establishes that "the complaint states facts sufficient to constitute a cause or causes of action against the defendant *and* the answer does not state facts sufficient to constitute a defense to the complaint." (Code Civ. Proc., § 438, subd. (c)(1)(A), emphasis added.)

Plaintiff's request for judicial notice of the amended declaration filed by him in support of his pending "Motion for Sanctions and Deposition" is DENIED. While the Court could take judicial notice of the *existence* of this item as a court record, it cannot accept the truth of any of its contents. (See *Sosinsky, supra*, 6 Cal.App.4th at 1564.) The fact of the declaration's existence is irrelevant to the disposition of Plaintiff's motion. Accordingly, the Court will not take judicial notice of it. (See *Gbur, supra*, 93 Cal.App.3d at 301.

Plaintiff's motion for judgment on the pleadings as to the FAC is DENIED. Plaintiff fails to establish that Ms. Cliff's Amended Answer to the FAC fails to state facts sufficient to constitute a defense. Plaintiff urges that the affirmative defenses pleaded in the Amended Answer are defective and seeks judgment as to each because they are not supported by sufficient facts but the Court has already overruled his demurrer to the first, third, and eighth affirmative defenses as pleaded in the original answer on this ground and sees no reason to depart from this ruling based on how they are pleaded in the Amended Answer. Further, Ms. Cliff adequately pleads a general denial (see Amended Answer at 1:19-20 [stating that Ms. Cliff "generally denies each and every allegation of [the FAC]."] Given the foregoing, it cannot be said that the answer "does not state facts sufficient to constitute a defense to the complaint." (Code Civ. Proc., § 438, subd. (c)(1)(A).)

As for the remaining affirmative defenses, Plaintiff's motion is GRANTED as to the fifth affirmative defense for laches; his demurrer to this defense as pleaded in Ms. Cliff's original answer was sustained *without leave to amend* by the Court in its order dated March 12, 2025. The motion is also GRANTED as to the seventh affirmative defense for unjust enrichment; Plaintiff's demurrer to this defense was sustained with leave to amend but Ms. Cliff has made no amendments to it. Plaintiff's motion is otherwise DENIED as he fails to establish that Ms. Cliff has not sufficiently pleaded the remaining affirmative defenses, all of which the Court previously sustained a demurrer to with leave to amend. Ms. Cliff has added the necessary factual support to these defenses.

The Court will prepare the final order.

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Calendar Line 4

Case Name: *Daniel de la Cerda v. Ford Motor Company*

Case No.: 26CV485925

On April 15, 2026, the Court ordered this matter CONTINUED to May 22, 2026, at 9:00 a.m. in Department 13. At that time, there had been confusion regarding the calendaring of the motion. Therefore, the Court ordered that Plaintiff's opposition was due by May 11, 2026, and Defendant's reply was due by May 15, 2026. Plaintiff has filed no opposition.

I. BACKGROUND

On March 7, 2025, Plaintiff Daniel de la Cerda ("Plaintiff") purchased a 2024 Ford F-150, VIN No. 1FTVW3LK1RWG31174. (Complaint at ¶ 7.) Plaintiff alleges "[d]effects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to transmission defects, engine defects, electrical defects; among other defects and non-conformities." On February 2, 2026, Plaintiff filed suit against Defendant Ford Motor Company ("Defendant") for violation of statutory obligations, namely the Song-Beverly Act. Plaintiff filed a sole cause of action for negligent repair against Defendant Swanson Fahrney Ford Sales.

Defendant moves to compel arbitration of this action pursuant to the Ford Arbitration Agreement ("the Agreement"). Defendant argues the Agreement is governed by the Federal Arbitration Act ("FAA") and California Arbitration Act ("CAA"). Defendant maintains it has not waived its right to arbitrate and no other grounds exist for revocation of the agreement. Having reviewed the language of the Agreement and the circumstances of its execution, the Court concludes that the motion should be granted.

II. LEGAL STANDARD

Defendant maintains that the FAA governs the Agreement based on the language itself and because the Agreement affects interstate commerce. (Mtn. to Compel Arbitration at p. 6:6-8.) The Agreement states "[t]hese issues, the Agreement, and arbitration-related proceedings shall be governed by the Federal Arbitration Act (9 U.S.C. § 1 et seq.) and federal common law, and not by any state's law or procedures regarding arbitration." (Declaration of Trina M. Clayton ["Clayton Decl."], Ex. B.) Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Alternatively, the CAA governs the Agreement. Code of Civil Procedure section 1281.2 provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy in that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

III. ANALYSIS

A valid agreement to arbitrate exists between the parties. The Ford Arbitration Agreement provides “[y]ou, Ford, and the selling dealer further agree that all remaining disputes will be addressed in binding arbitration rather than in court litigation. If one party files a court action instead of arbitration, all court proceedings will be stayed until resolution of any proceedings to compel arbitration, including appeals.” (Clayton Decl., Ex. B.) Plaintiffs signed the agreement on March 7, 2025. (*Ibid.*) Plaintiffs’ signature evinces the fact that he assented to the Agreement. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.”].)

The scope of the agreement is covered by Plaintiff’s claims. The Agreement provides “[c]laims subject to arbitration pursuant to this Agreement include warranty disputes and claims related to statements about Ford’s products before you signed the Agreement.” (Clayton Decl., Ex. B.) Plaintiff’s Complaint concerns defects and nonconformities to warranty including but not limited to transmission defects, engine defects, and electrical defects. Plaintiff has sued Defendant for the breach of express and implied warranties under the Song Beverly Act. Thus, Plaintiff’s claims are included within the scope of the Agreement.

The Court next considers whether Defendant has waived its right to arbitration and whether any other grounds for revocation exist.

Waiver

The California Supreme Court has identified various factors that are “relevant and properly considered in assessing waiver claims.” (*St. Agnes Medical Center v. Pacific Care of California* (2003) 31 Cal.4th 1187, 1195-1196.) Those factors are:

(1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether ‘the litigation machinery has been substantially invoked’ and the parties ‘were well into preparation of a lawsuit’ before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g. taking advantage of judicial discovery procedures not available in arbitration] had taken place; and (6) whether the delay affected, misled, or prejudiced the opposing party.

(*Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992 [internal citations and quotations omitted; *St. Agnes, supra*, 31 Cal.4th at p. 1196.]) The prejudice requirement under the sixth factor has been abrogated by the California Supreme Court. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562 (*Quach*).) The sixth factor regarding prejudice was based on federal cases that “applied an arbitration-specific rule that required a showing of prejudice to establish waiver.” (*Quach, supra*, 16 Cal.5th at p. 569.) “To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party’s conduct.” (*Id.* at p. 585.)

The multifactor test is not “a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails,” nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 15 [internal quotation marks and citation omitted].) “The waiver inquiry is exclusively focused on the waiving party’s conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party’s subjective evaluation of the waiving party’s intent is relevant.” (*Quach, supra*, 16 Cal.5th at p. 585.)

The facts here do not demonstrate that Defendant has waived its right to arbitration. Defendant has not filed an answer in this action. (Clayton Decl. at ¶ 5 Defendant has not propounded or responded to any discovery in this matter. (*Id.* at ¶¶ 6, 7.) Thus, Defendant has not engaged in litigation-related conduct. No trial date has been set in these proceedings. (*Id.* at ¶ 8.) Accordingly, no waiver has occurred, and Defendant may move to arbitrate these claims.

Other Grounds for Revocation

As an initial matter, Plaintiff asserts a claim for fraudulent inducement against Defendant. Plaintiff alleges “Defendant FORD committed fraud by allowing the Vehicle to be sold to Plaintiff without disclosing that the Vehicle and its 1-speed Transmission were defective and susceptible to sudden and premature failure.” (Complaint at ¶ 53.) Plaintiff maintains he was harmed “by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Transmission Defect.” (*Id.* at ¶ 64.) The allegations here pertain to the fraudulent inducement of the lease agreement.

“Both federal and California law now hold that, in the absence of a specific attack on an arbitration agreement, such agreement generally must be enforced even if one party asserts the invalidity of the contract that contains it.” (*St. Agnes, supra*, 31 Cal.4th at p. 1198.) Plaintiff has not specifically attacked the Ford Arbitration Agreement, which is a standalone document separate from the lease agreement. “By entering into the arbitration agreement, the parties established their intent that disputes coming within the agreement’s scope be determined by an arbitrator rather than a court; this contractual intent must be respected even with regard to claims of fraud in the inducement of the contract generally.” (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 416.) Thus, even though Plaintiff has asserted a claim for fraudulent inducement, the contractual intent to arbitrate must be respected.

The Court next considers whether the Ford Arbitration Agreement is unconscionable. The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural Unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

Here the Agreement is not procedurally unconscionable. The Arbitration Agreement is a single-paged stand-alone document and conveys its relevant terms through bold font. (Clayton Decl., Ex. B.) (See cf. *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold lettering, larger font, or capitalization].) The Court also does not find the Agreement to be substantively unconscionable as the arbitration is subject to the rules of the American Arbitration Association (“AAA”) or New Era ADR. (Clayton Decl., Ex. B.) In addition, the Agreement shifts majority of the costs to Defendant and provides “[y]ou will be responsible for no more than a maximum of \$275 in costs imposed by the arbitration provider.” (*Ibid.*) The Agreement also includes an opt-out provision whereby a party must provide written notice of opting-out within 30 days after signing. (*Ibid.*) “[A]n arbitration agreement is not adhesive if there is an opportunity to

opt out of it.” (*Mohamed v. Uber Technologies, Inc.* (9th Cir. 2016) 848 F.3d 1201, 1211.) In the absence of procedural or substantive unconscionability, the Ford Arbitration Agreement is enforceable.

Plaintiff does not object to these arguments. In fact, as noted above, Plaintiff has not filed any opposition whatsoever. (See Notice of Non-Opposition.) The failure to timely file an opposition is a basis for the Court to grant the motion, as the Court may construe such non-opposition as a concession that the motion is meritorious. (See *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4; see also Cal. Rule of Court 8.54, subd. (c) [appellate rule stating that “[a] failure to oppose a motion may be deemed consent to the granting of the motion”].)

For these reasons, the Court GRANTS the Motion to Compel Arbitration. This action is hereby STAYED pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

IV. CONCLUSION

The Motion to Compel Arbitration is GRANTED. The entire action is STAYED pending the outcome of arbitration.

The July 23, 2026 Case Management Conference is VACATED.

The matter shall be set for a Status Hearing re: Arbitration on January 29, 2027, at 11:00 a.m. in Department 13.

Moving party shall prepare and submit the final order, accompanied by the necessary Form EFS-020 within 10 days of the date of the hearing.

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Calendar Line 5

Case Name: *Javier Cruz vs Eric Hansen*
Case Number: 22CV398311

Defendant/Cross-Complainant ERIC C. HANSEN (Hansen) moves the Court to strike the Answer of JAVIER JOSE CRUZ (Cruz) to Hansen's Cross-Complaint and to enter his default thereon and for an award of monetary sanctions.

As is apparent from the record in this case, Cruz did nothing to prosecute his case and has done nothing in defense of the Cross-Complaint. The Court has ordered Cruz to pay additional monetary sanctions in a total amount of \$8,351.06 and he has paid nothing. Hansen's motion is well taken. Not surprisingly, Cruz has filed no opposition to the motion. "[T]he failure to file an opposition creates an inference that the motion ... is meritorious." (*Sexton v. Super Ct.* (1997) 58 Cal.App.4th 1403, 1410.)

Hansen's motion is GRANTED. Cruz's answer to the Cross-Complaint is hereby STRICKEN. Hansen may therefore pursue default and default judgment on the Cross-Complaint.

In addition, Hansen's request for additional monetary sanctions in the amount of \$1,035.75 is GRANTED. Cruz shall pay Hansen this additional \$1,035.75 within 30 days of the date of service of this order.

Defendant/Cross-Complainant Hansen shall prepare the final order accompanied by Form EFS-020 within 10 days of the date of the hearing.

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Calendar Line 6

Case Name: *Fihussein Elie v. General Motors LLC*

Case No.: 25CV477314

Before the Court is Defendant General Motors LLC's ("Defendant" or "GM") motion to strike portions of the Complaint filed by Plaintiff Fihussein Elie ("Plaintiff").

This is a lemon law action. According to the allegations of the Complaint, on January 15, 2024, Plaintiff entered into a warranty contract with GM regarding a 2024 Chevrolet Corvette (Complaint, ¶ 6), and that "[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, engine defects, transmission defects, electrical defects; among other defects and nonconformities" (*id.* at ¶ 11). Plaintiff alleges that he requested a buyback on August 28, 2025, but Defendant failed to provide restitution as required under the Song-Beverly Consumer Warranty Act ("Song-Beverly"). (*Id.*, ¶ 24.)

Based on the foregoing, Plaintiff initiated this action on October 10, 2025, asserting claims for: (1) violation of Civil Code § 1793.2, subd. (d); (2) violation of Civil Code § 1793.2, subd. (b); (3) violation of Civil Code § 1793.2, subd. (a)(3); (4) breach of the implied warranty of merchantability; and (5) fraudulent inducement-concealment. On January 16, 2026, Defendant filed the instant motion to strike the following portions of the Complaint: ¶¶ 29-31, 36, 39 and subdivision (f) of the Prayer. Plaintiff opposes the motion.

In the paragraphs that are the subject of this motion, Plaintiff requests civil penalties under the Song-Beverly Act. As Defendant maintains, Code of Civil Procedure section 871.24 ("Section 871.24") requires a plaintiff seeking civil penalties under the Song-Beverly Act to comply with specific pre-suit notice and vehicle retention requirements. Specifically, Section 871.24 mandates that at least 30 days prior to commencing an action for civil penalties under the Song-Beverly Act, the plaintiff "shall" notify the manufacturer, in writing, of his name, the vehicle's identification number ("VIN"), a summary of the repair history, and a demand for restitution or replacement of the vehicle. (Code Civ. Proc., § 871.24, subs. (a).) At the time the notice is sent, the plaintiff must have possession of the vehicle. (Code Civ. Proc., § 871.24, subd. (c).)

In the Complaint, Plaintiff requests civil penalties, but fails to plead compliance with the aforementioned requirements. When pre-suit notice or other conditions precedent are required by statute, a plaintiff must plead that he performed all required conditions. (See, e.g., *Caliber Bodyworks, Inc. v. Superior Court* (2005) 134 Cal.App.4th 365, 381-382 [interpreting similar statutory framework according to its plain language and holding that failure to plead compliance as to claim seeking civil penalties was fatal to those claims].) In his opposition, Plaintiff urges that the Court can "reasonably infer" that he complied with the pre-notice requirement based on his allegation that he requested a buyback from Defendant on August 28, 2025. (See Complaint, ¶ 24.) The Court disagrees. While a general allegation of compliance with statutory conditions is generally adequate at the pleading stage (see, e.g., *Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1236-1237), that is not what Plaintiff has done in the Complaint, and him requesting a buyback does not necessarily equate to *actual* compliance with the requirements of Section 871.24, subdivision (a). Consequently, Defendant's motion to strike is GRANTED WITH 10 DAY' LEAVE TO AMEND.

Moving party shall prepare and submit the final order, accompanied by the necessary Form EFS-020 within 5 days of the date of the hearing.

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Calendar Line 7

Case Name: *Paredes et al. v. Ford Motor Company et al.*

Case No.: 25CV478111

I. BACKGROUND

On November 11, 2022, Plaintiffs Victor M. Paredes and Alma L. Paredes (“Plaintiffs”) purchased a 2022 Ford Mustang Mach-E, (“Subject Vehicle”) from The Ford Store Morgan Hill (“Defendant”). (Complaint at ¶ 7.) Plaintiffs delivered the Subject Vehicle to Defendant for substantial repair on at least one occasion. (*Id.* at ¶ 47.) Plaintiffs allege that Defendant “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (*Id.* at ¶ 49.) On October 20, 2025, Plaintiffs filed suit against Defendant and Ford Motor Company for violation of statutory obligations, namely the Song-Beverly Act. Plaintiffs bring the sole cause of action for negligent repair against Defendant the Ford Store Morgan Hill.

Defendant Ford Store Morgan Hill moves to compel arbitration of this action pursuant to the Retail Installment Sales Contract (“RISC”). Defendant argues the Arbitration Provision in the RISC is governed by the Federal Arbitration Act (“FAA”) and California Arbitration Act (“CAA”). Defendant maintains it has not waived its right to arbitrate and no other grounds exist for revocation of the agreement. Having reviewed the language of the Arbitration Provision and the circumstances of its execution, the Court concludes that the motion should be granted.

II. LEGAL STANDARD

Defendant maintains that the FAA governs the Arbitration Provision based on the language itself and because the agreement affects interstate commerce. (Mtn. to Compel Arbitration at pp. 6:24-7:1.) The Arbitration Provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration.” (Declaration of Trina M. Clayton [“Clayton Decl.”], Ex. A.) Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Alternatively, the CAA governs the Arbitration Provision. Code of Civil Procedure section 1281.2 provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy in that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to

compel arbitration has been waived by the petitioner; or [¶] (b)
Grounds exist for rescission of the agreement

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

III. ANALYSIS

A valid agreement to arbitrate exists between the parties. The Arbitration Provision in the RISC provides in relevant part:

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction of relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Clayton Decl., Ex. A at p. 5.) Plaintiffs signed the agreement on November 11, 2022. In addition, Plaintiffs signed and acknowledged notice of the Arbitration Provision as follows: “**Agreement to Arbitrate.** By signing below, you agree that pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (*Id.* at p. 1.) The RISC further drew the Arbitration Provision to Plaintiffs’ attention through the following disclaimer: “. . . YOU ACKNOWLEDGE THAT YOU HAVE READ ALL PAGES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ON PAGE 5, BEFORE SIGNING BELOW.” (*Id.* at p. 6.) Plaintiffs’ signature evinces the fact that they assented to the Arbitration Provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.”].)

The scope of the agreement is covered by Plaintiff’s claims. Here, the Arbitration Provision applies to “any claim or dispute, whether in contract, tort, statute, or otherwise . . . which arises out of or relates to your . . . purchase or condition of this Vehicle” (Clayton Decl., Ex. A at p. 5.) Plaintiffs’ sole cause of action against Defendant is for negligent repair, which inherently relates to the condition of the vehicle.

The Court next considers whether Defendant has waived its right to arbitration and whether any other grounds for revocation exist.

Waiver

The California Supreme Court has identified various factors that are “relevant and properly considered in assessing waiver claims.” (*St. Agnes Medical Center v. Pacific Care of California* (2003) 31 Cal.4th 1187, 1195-1196.) Those factors are:

(1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether ‘the litigation machinery has been substantially invoked’ and the parties ‘were well into preparation of a lawsuit’ before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g. taking advantage of judicial discovery procedures not available in arbitration] had taken place; and (6) whether the delay affected, misled, or prejudiced the opposing party.

(*Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992 [internal citations and quotations omitted; *St. Agnes, supra*, 31 Cal.4th at p. 1196.]) The prejudice requirement under the sixth factor has been abrogated by the California Supreme Court. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562 (*Quach*).) The sixth factor regarding prejudice was based on federal cases that “applied an arbitration-specific rule that required a showing of prejudice to establish waiver.” (*Quach, supra*, 16 Cal.5th at p. 569.) “To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party’s conduct.” (*Id.* at p. 585.)

The multifactor test is not “a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails,” nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 15 [internal quotation marks and citation omitted].) “The waiver inquiry is exclusively focused on the waiving party’s conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party’s subjective evaluation of the waiving party’s intent is relevant.” (*Quach, supra*, 16 Cal.5th at p. 585.)

The facts here do not demonstrate that Defendant has waived its right to arbitration. Defendant has only filed an Answer in this action. (Clayton Decl. at ¶ 4.) Defendant’s Answer includes the affirmative defense of an agreement to arbitrate. (*Id.*, Ex. C.) Defendant has not propounded or responded to any discovery in this matter. (*Id.* at ¶¶ 5, 6.) Thus, Defendant has not engaged in litigation-related conduct. No trial date has been set in these proceedings. (*Id.* at ¶ 7.) Accordingly, no waiver has occurred, and Defendant may move to arbitrate these claims.

Other Grounds for Revocation

As an initial matter, Plaintiffs do not assert any claims for fraud against Defendant the Ford Store Morgan Hill. The cause of action for fraudulent inducement is only asserted against Defendant Ford Motor Company. Instead, at issue is whether the Arbitration Provision is unconscionable.

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural Unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

Here the Arbitration Provision is not procedurally unconscionable. Plaintiff was given notice of the arbitration provision prior to signing. (Clayton Decl., Ex. A.) The Arbitration Provision itself was on a separate page in bold and capitalized font. (*Id.* at p. 5.) (See cf. *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold lettering, larger font, or capitalization].) The Court also does not find the Arbitration Provision to be substantively unconscionable as the arbitration is subject to the rules of the American Arbitration Association (“AAA”). (Clayton Decl., Ex. A.) In addition, the Arbitration Provision provides that Defendant is to “pay the filing, administration, service, or case management fee and arbitrator hearing fee up to a maximum of \$5,000, unless the law or rules of the chosen arbitration organization require us to pay more.” (*Ibid.*) The arbitrator is also to apply “governing state law and the applicable statute of limitations.” (*Ibid.*) In the absence of procedural or substantive unconscionability, the Arbitration Provision is enforceable.

Plaintiffs do not object to these arguments. In fact, Plaintiffs have not filed any opposition whatsoever. (See Notice of Non-Opposition.) The failure to timely file an opposition is a basis for the Court to grant the motion, as the Court may construe such non-opposition as a concession that the motion is meritorious. (See *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4; see also Cal. Rule of Court 8.54, subd. (c) [appellate rule stating that “[a] failure to oppose a motion may be deemed consent to the granting of the motion”].)

For these reasons, the Court GRANTS the Motion to Compel Arbitration. This action is hereby STAYED pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

IV. CONCLUSION

The Motion to Compel Arbitration is GRANTED. The entire action is STAYED pending the outcome of arbitration.¹

The matter shall be set for a Status Hearing re: Arbitration on January 29, 2027, at 11:00 a.m. in Department 13.

Moving party shall prepare and submit the final order, accompanied by the necessary Form EFS-020 within 10 days of the date of the hearing.

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¹ Defendant the Ford Store Morgan Hill moves for a stay of the *entire* action. Defendant Ford Motor Company does not oppose. As noted above, Plaintiff has not opposed *any aspect* of the motion. Under these circumstances, the Court will not engage in a *sua sponte* analysis of whether the arbitration with Defendant the Ford Store Morgan Hill and lawsuit with Defendant Ford Motor Company should proceed separately.